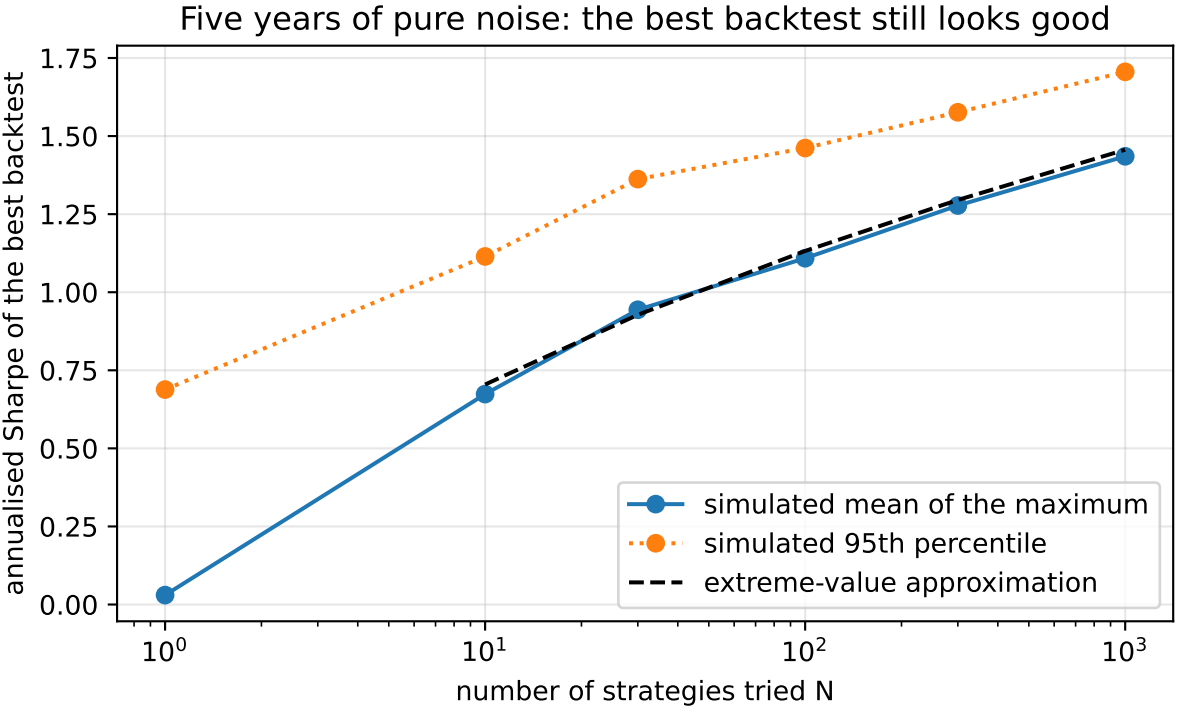
Five years of pure noise: the best backtest still looks good
annualised Sharpe of the best backtest
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.00
10^0
10^1
10^2
10^3
number of strategies tried N
simulated mean of the maximum
simulated 95th percentile
extreme-value approximation